Retail Equity Research

Manappuram Finance Ltd.

NBFC

BUY

12 Months Investment Period | Rating as per Small Cap

BSE CODE : 531213 | NSE CODE: MANAPPURAM

BLOOMBERG CODE: MGFL:IN | SENSEX : 72,500

CMP Rs. 176 TARGET Rs. 215 RETURN 22%

(Closing: 29-02-24)

KEY CHANGES: *TARGET* ↑ *RATING* ⇔ *EARNINGS* ↑

Elevated yield from gold book

Manappuram Finance Ltd. (MGFL) is one of the leading gold loan NBFCs in India. MGFL has also diversified into other business segments like housing loan, vehicle loan and microfinance, with a branch network size of around 5,000 spread across the country.

- **Consolidated assets under management (AUM) grew by 27% YoY to Rs. 40,385cr, with the gold loan AUM at Rs. 20,758cr(+12% YoY) and the non-gold segment reaching Rs. 19,627cr (+48% YoY).**
- **In Q3FY24, consolidated net profit reached Rs. 575cr, marking 46% YoY growth, largely driven by the profitability in the gold loan business.**
- **Net interest income (NII) for the quarter grew by 33% YoY, supported by a quarterly 50bps improvement in gold yield, contributing to higher yields from the gold book.**
- **Risk weights on bank lending to NBFCs increased by 25 bps, raising borrowing costs by 20 bps due to a higher proportion of term loans. Despite this, Net Interest Margin (NIM) improved by 37 bps to 16.7%.**
- **In anticipation of the short-term impact of rising borrowing and credit costs, we expect the company to address these challenges by expanding its AUM mix, particularly in the non-gold segment, and enhancing asset quality. Hence, we reiterate BUY rating with a target price of Rs. 215, based on a 1.12x adjusted BVPS of FY26E.**

Profit soars as NIM expands.

In Q3FY24 the consolidated net profit inched to Rs.575cr marking 46% YoY growth, mostly driven by profitability in gold loan business. Despite a flat QoQ trend in gold loan AUM at Rs. 20,758cr, there was 12% YoY growth. Notably, a quarterly 50 bps yield improvement to 22.6% from the gold division bolstered NII. The non-gold business segment also exhibited growth, reaching Rs. 19,627cr showing a YoY growth of 48%. Consolidated AUM grew by 27% YoY to Rs. 40,385cr, maintaining a portfolio mix of 51:49 for gold and non-gold assets, consistent with management guidance for a 50:50 AUM mix. NII for the quarter grew by 33% YoY and 7% QoQ to Rs.1,452cr. We expect advances to grow at 16.4% over FY23–26E, led by strong growth in the non-gold portfolio.

RBI's circular spurs rise in borrowing costs.

The recent RBI circular to raise the risk weight on consumer credit exposure of NBFC lending does not apply to gold loans, vehicle finance, and microfinance; hence, it has not had much impact on company's balance sheet. However, risk weights on bank lending to NBFCs increased by 25bps, elevating the total borrowing costs of the company by 20bps due to a higher proportion of term loans. While this impacted the cost of funds from mid-November, the full effect will be seen in the next quarter. Despite this, NIM improved by 37bps to 16.7%, supported by higher yields from the gold book.

Outlook and valuation

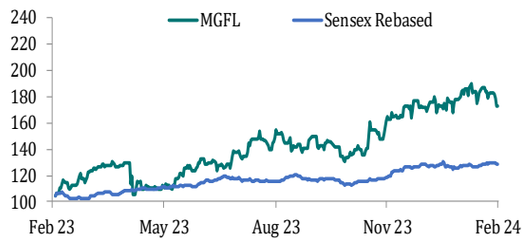
We expect a short-term impact due to the increase in borrowing and credit costs. Nonetheless, we anticipate the company to counter these challenges by diversifying its funding sources, expanding its AUM mix, especially in the non-gold segment, and enhancing asset quality. Looking ahead, MGFL's long-term prospects are promising, with additional support anticipated from the potential reduction in auction surplus requirements, pending RBI approval, which would aid future expansion plans. Therefore, we reiterate BUY rating with a revised target price of Rs. 215 based on a 1.12x adj. BVPS of FY26E.

Company Data	
Market Cap (Rs cr)	14,605
Outstanding Shares (cr)	84.6
Free Float (%)	64.8
Dividend Yield (%)	1.4
52 week high (Rs)	193
52 week low (Rs)	102
6m average volume (cr)	1.0
Beta	1.0
Face value (Rs)	2

Shareholding (%)	Q1FY24	Q2FY24	Q3FY24
Promoters	35.2	35.2	35.2
FII's	30.7	27.1	28.9
MFs/Institutions	10.7	12.2	12.2
Public	23.4	25.5	23.7
Total	100.0	100.0	100.0
Promoter pledge	Nil	Nil	Nil

Price Performance	3 Month	6 Month	1 Year
Absolute Return	5.0	13.7	68.0
Absolute Sensex	7.9	10.6	22.6
Relative Return*	-3.0	3.1	45.4

*over or under performance to benchmark index



Consolidated (Rs.cr)	FY24E	FY25E	FY26E
NII	5,558	6,575	7,570
Growth(%)	*30.7*	*18.3*	*15.1*
NIM(%)	15.0	15.3	15.1
Provisions	526	558	591
Adj. PAT	2215	2615	3021
Growth(%)	*47.7*	*18.1*	*15.5*
Adj. EPS	26.2	30.9	35.7
Growth(%)	*47.40*	*18.06*	*15.50*
P/E	4.3	3.6	3.1
BVPS	137.5	165.9	199.0
Growth(%)	*20.5*	*20.6*	*20.0*
Adj. BVPS	131.3	159.3	192.0
Growth(%)	*19.1*	*21.3*	*20.5*
P/B	0.8	0.7	0.6
Adj. P/B	0.9	0.7	0.6
ROE (%)	20.8	20.4	19.6

Quarterly Financials (Consolidated)

(Rs cr)	Q3FY24	Q2FY24	QoQ Growth (%)	Q3FY23	YoY Growth (%)	9MFY24	9MFY23	YoY Growth (%)
Interest Income	2,201	2,044	7.7	1,657	*32.8*	6,182	4,726	*30.8*
Interest Expense	749	689	8.6	566	*32.3*	2,087	1,599	*30.5*
Net Interest Income (NII)	**1,452**	**1,355**	**7.2**	**1,092**	***33.0***	**4,095**	**3,128**	***30.9***
Fee and Other Income	126	130	-3.6	77	*62.7*	377	225	*67.4*
Total Income	1,578	1,485	6.3	1,169	*35.0*	4,472	3,353	*33.4*
Expenditure	642	618	3.8	577	*11.3*	1,867	1,618	*15.3*
Pre-Provision Profit	**936**	**867**	**8.0**	**592**	***58.1***	**2,605**	**1,734**	***50.2***
Provision	150	120	25.0	51	*193.7*	391	260	*50.3*
PBT	786	747	5.3	541	*45.4*	2,214	1,474	*50.2*
Tax	211	186	13.5	147	*43.2*	580	390	*48.9*
Reported PAT	**575**	**561**	**2.5**	**393**	***46.2***	**1,634**	**1,085**	***50.6***
Adjustment	0	0		0		0	0	
Adj. PAT	**575**	**561**	**2.5**	**393**	***46.2***	**1,634**	**1,085**	***50.6***
Diluted EPS (Rs)	**6.8**	**6.6**	**2.5**	**4.6**	***46.2***	**19.3**	**12.8**	***50.7***

Change in Estimates

	Old estimates		New estimates			Change (%)	
Year / Rs cr	**FY24E**	**FY25E**	**FY24E**	**FY25E**	**FY26E**	**FY24E**	**FY25E**
Net Interest Income (NII)	5,104	5,914	5,558	6,575	7,570	*28.8*	*28.0*
Net Interest Margin (%)	13.7	13.6	15.0	15.3	15.1	*134bps*	*165bps*
Pre-Provision Profit	2,884	3,299	3,539	4,092	4,645	*41.9*	*40.8*
Adj. PAT	1,865	2,114	2215	2615	3021	*40.2*	*42.9*
Diluted EPS (Rs)	22.1	25	26.2	30.9	35.7	*39.8*	*42.7*

PROFIT & LOSS

Y.E March (Rs cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Interest Income	5,840	6,440	8,407	9,720	11,116
Interest Expense	2,011	2,188	2,849	3,145	3,546
Net Int. Income	**3,828**	**4,253**	**5,558**	**6,575**	**7,570**
Change(%)	*-3.6*	*11.1*	*30.7*	*18.3*	*15.1*
Non Int. Income	287	310	506	573	667
Total Income	4,115	4,562	6,064	7,149	8,237
Change(%)	*-1.0*	*10.9*	*32.9*	*17.9*	*15.2*
Operating Exp.	1,845	2,214	2,524	3,057	3,592
Pre Prov. Profit	**2,270**	**2,348**	**3,539**	**4,092**	**4,645**
Prov. & Conting.	486	307	526	558	591
PBT	1784	2041	3014	3534	4054
Change(%)	*-23.0*	*14.4*	*47.7*	*17.3*	*14.7*
Tax	455	541	799	919	1034
Tax Rate (%)	26	27	27	26	26
Reported PAT	**1329**	**1500**	**2215**	**2615**	**3021**
Adj*	0	0	0	0	0
Adj. PAT	**1329**	**1500**	**2215**	**2615**	**3021**
Change(%)	*-23.0*	*12.9*	*47.7*	*18.1*	*15.5*
No. of shares (Cr)	84	84	85	85	85
EPS (Rs)	**15.7**	**17.8**	**26.2**	**30.9**	**35.7**
Change(%)	*-23.1*	*12.9*	*47.4*	*18.1*	*15.5*
DPS (Rs)	**3.00**	**3.00**	**3.00**	**3.00**	**3.50**

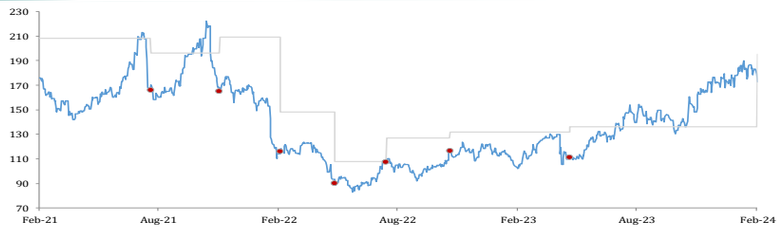
BALANCE SHEET

Y.E March (Rs cr)	FY22A	FY23A	FY24E	FY25E	FY26E
Cash	2,371	2,500	3,053	3,945	4,548
Loans & Advances	28,971	34,195	40,745	46,516	53,720
Investments	421	534	648	719	831
Gross Fixed Assets	664	794	933	1081	1238
Net Fixed Assets	353	432	493	558	624
CWIP	13	16	28	32	37
Intangible Assets	26	30	34	37	39
Def. Tax (Net)	174	151	200	230	258
Other Assets	1,482	1,646	2,037	2,326	2,686
Total Assets	**33,811**	**39,504**	**47,237**	**54,363**	**62,744**
Deposits	0	0	0	0	0
Debt Funds	24,118	28,483	33,933	38,459	43,863
Other Liabilities	1,251	1,303	1,581	1,768	1,934
Provisions	73	73	81	98	107
Equity Capital	169	169	169	169	169
Reserves & Surplus	8199	9476	11472	13869	16671
Shareholder's Funds	8368	9645	11642	14038	16840
Total Liabilities	**33,811**	**39,504**	**47,237**	**54,363**	**62,744**
BVPS (Rs)	**99.0**	**114.2**	**137.5**	**165.9**	**199.0**
Change(%)	*14.3*	*15.3*	*20.5*	*20.6*	*20.0*
Adj. BVPS (Rs)	**94.9**	**110.3**	**131.3**	**159.3**	**192.0**
Change(%)	*13.8*	*16.2*	*19.1*	*21.3*	*20.5*

RATIOS

Y.E March	FY22A	FY23A	FY24E	FY25E	FY26E
Profitab. & Return					
Interest yield (%)	21.1	20.4	22.8	22.5	22.2
Cost of funds (%)	8.6	8.3	9.2	8.7	8.6
Spread.(%)	12.5	12.1	13.6	13.8	13.5
NIM (%)	13.8	13.5	15.0	15.3	15.1
ROE (%)	17.0	16.7	20.8	20.4	19.6
ROA(%)	4.1	4.1	5.1	5.1	5.2
Business Growth (yoy)					
Gold Loan AUM (%)	5.7	-2.1	7.5	9.5	10.5
Microfinance AUM (%)	11.2	39.7	19.3	19.5	19.5
Total AUM (%)	11.2	17.2	17.9	15.0	15.0
Operating Ratios					
Cost to Income (%)	44.8	48.5	41.6	42.8	43.6
Cost to AUM (%)	6.1	6.2	6.0	6.4	6.5
Asset Quality					
GNPA (%)	3.1	1.6	1.9	2.0	1.9
NNPA (%)	1.9	0.7	0.7	0.7	0.7
Capital Adequacy					
CAR (%)	31.3	31.3	29.9	31.6	32.8
Valuation ratios					
P/E (x)	7.1	6.3	4.3	3.6	3.1
P/B (x)	1.1	1.0	0.8	0.7	0.6
Adj. P/B (x)	1.2	1.0	0.9	0.7	0.6

Recommendation Summary (last 3 years)



DATE	RATING	TARGET
04.Feb.21	Buy	208
16.Aug.21	Buy	196
29.Nov.21	Buy	209
02.Mar.22	Buy	148
24.May.22	Accumulate	108
11.Aug.22	Accumulate	127
16.Nov.22	Accumulate	132
18.May.23	Buy	136
01.Mar.24	Buy	215

Source: Bloomberg, Geojit Research.

Investment Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	**Upside is above 10%**	**Upside is above 15%**	**Upside is above 20%**
Accumulate	**-**	**Upside is between 10%-15%**	**Upside is between 10%-20%**
Hold	**Upside is between 0% - 10%**	**Upside is between 0%-10%**	**Upside is between 0%-10%**
Reduce/sell	**Downside is more than 0%**	**Downside is more than 0%**	**Downside is more than 0%**
Not rated/Neutral			

Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

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Not rated/Neutral- The analyst has no investment opinion on the stock under review.

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